STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Greg Howe

Of

16 Gellibrand Road
PORT MELBOURNE VIC 3207

Prepared on:

18th December 2018

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

18/12/2018

Mr Greg Howe
16 Gellibrand Road
Port Melbourne VIC 3207

Dear Greg,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

Table of Contents

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Retirement Planning
- Superannuation Structure (including Self-Managed Superannuation)
- Structure and Ownership of Future Investments
- Personal Insurances
- Estate Planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Greg, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life.
- Review your superannuation portfolio.
- Place your future assets under the most tax effective ownership structure.
- Ensure you have sufficient personal insurances and have these structured in the most efficient manner.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	Greg
Surname	Howe
Gender	M
Date of Birth	31/10/1963
Age Last Birthday	55
Marital Status	Single

Employment Details

Employment Status	Employee – Full Time
Occupation	General Manager
Employer	McKenzie's Foods
Proposed Retirement Age	67

Estate Planning

	Greg
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	No
Do you have a Testamentary Trust?	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	$2,300,000
Total Lifestyle Assets	**$2,300,000**

Investment Assets	Value
Cash at bank	$6,000
Total Lifestyle Assets	**$6,000**

Superannuation Assets	
Russell Super	$370,000
Total Superannuation Assets	**$370,000**

Total ASSETS	**$2,676,000**

LIABILITIES

Residential property loan	$872,000
Total Liabilities	**$872,000**

NET WORTH	**$1,804,000**

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined you can be considered a "Growth" investor.

Typically, a **Growth** investor has the following characteristics:

- A **Growth** investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A **Growth** investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Our recommendation has been made given your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2018-19

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $37,000	19c for each $1 over $18,200
$37,001 – $90,000	$3,572 plus 32.5c for each $1 over $37,000
$90,001 – $180,000	$19,822 plus 37c for each $1 over $87,000
$180,001 and over	$54,232 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in ‘accumulation’ phase - Tax rate = 15%

Superannuation in ‘pre-retirement pension’ phase - Tax rate = 15%

Superannuation in ‘allocated pension’ phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute

Self-Managed Superannuation Fund (SMSF) Vs Master Trust

SMSF

A super fund is generally a self-managed super fund (SMSF) if:

- It has 4 or less members;
- No member of the fund is an employee of another member of the fund (unless they are related);
- Each member is a trustee or director of the corporate trustee, and
- No trustee of the fund receives any remuneration for their services as a trustee.

Since you are over 18 years of age, not under a legal disability and have not been disqualified*, you are eligible to be a trustee.

There are several detailed steps involved in establishing and managing an SMSF. Briefly, as trustees of an SMSF you are required to:

1. Establish your fund which includes appointing trustees (ie yourself as sole director of a corporate trustee) and make an irrevocable election to be regulated, obtain a tax file number and Australian business number. **Lakeside Accountants Pty Ltd will assist you in completing this step.**
2. Comply with all legislative requirements at all times – especially the SIS legislation which is the principle piece of legislation regulating super funds.
3. Comply with the sole purpose test. The object of this test is to ensure that SMSFs are maintained for the purpose of providing benefits to members upon their retirement, or their dependants if one of you dies before retirement.
4. Accept contributions in accordance with the SIS legislation and your trust deed.
5. Manage your funds investments which includes having an investment strategy and complying with the investment restrictions associated with SMSFs. For example, as trustee, you are prohibited from lending money or providing direct or indirect financial assistance* from the fund to a member or a member's relative.
6. Pay benefits in accordance with SIS legislation. In order to do this you must understand when benefits can be paid to members and in what form (i.e. as a lump sum, and or income stream).
7. Meet lodgement and administrative obligations of which there are several including annual income tax and regulatory returns as well as record keeping requirements.
8. You must appoint an approved auditor to audit the operations of the fund each year or part year the fund is in existence. The auditor is required to assess the fund's overall compliance with SIS legislation and the fund's financial statements.

** This includes the provision of credit.*

To protect your retirement income the Australian Taxation Office (ATO) regulates SMSFs to ensure they comply with SIS legislation. Failure to comply is known as a 'contravention' of the applicable legislation and may result in the ATO taking compliance action against you.
Accordingly, it is vital that you understand and conduct your obligations as trustees of the fund to the utmost of your abilities.

Advantages of having an SMSF:

- Flexibility and control of your investment decisions
- The ability to purchase property and assets that are used as an investment, and owned by the SMSF.

Disadvantages of having an SMSF:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.

Superannuation Master Trusts

A superannuation master trust is a superannuation structure that allows an investor to hold a portfolio of managed funds under the one umbrella. It provides centralised reporting and is often used by financial advisers as a convenient and simple way to manage their client's portfolio.

Master trusts typically have the following features:

- Investments are held by a trustee in its name, on behalf of the investor
- The value of an investor's account is determined by the trustee based on the value of the underlying investments
- All fees and some taxes are bundled into the unit price for each investment and allocated to the investor
- Income from the underlying assets is paid to the master trust and then distributed to members
- Franking credits are incorporated into the unit price of the underlying investment

Benefits:

- Master trusts are beneficial for those who have a large sum of money to invest and want the convenience of one report for multiple investments.
- Access to wholesale funds - You can access a wide range of wholesale funds that you may not be able to access individually.
- Once you commence an income stream, the earnings on your superannuation funds used in the purchase price of the pension become tax free. This remains the case for the life of the pension.
- You will receive consolidated reporting on performance.

Risks:

- The performance of the investments within a master trust is subject to the performance of the market in which they are invested.

Self-Managed Superannuation Funds – Key Considerations

The Role a Trust Deed Plays in a SMSF.

A SMSF cannot exist without a trust deed. The trust deed is a legal document that establishes the fund and provides the rules for its day to day operations and member entitlements. The trust deed should include rules that:

- Control who can be a trustee and who cannot be a trustee, what the trustee can do and what the trustee can't do, how the trustee can retire and a new trustee appointed, what the trustee can be paid and so on
- Describe who can be a member
- Describe what contributions can be accepted and from whom
- Describe the lump sum and pension benefits, and how they are calculated, on retirement, on death or permanent disability, or on serious financial hardship
- Describe how the decisions of the trustee should be made
- Describe the types and rules for death benefit nominations
- Facilitate the preparation and implementation of an investment strategy
- Allow members access to all relevant fund documents

The SMSF Investment Objective

- The sole purpose of the fund is to provide a lump sum or pension benefits upon retirement or death.
- The investment objective of the fund is to provide real, medium to longer term growth in the value of the assets held by the fund either through capital growth in the value of existing investments or by the reinvestment of income generated by existing investments.

Other Considerations of the SMSF

Trustee responsibilities

Greg, as the trustee of your SMSF you are responsible for compliance with a range of investment related requirements including the investment strategy covenant and various restrictions on investments and benefits including those related to:

- lending to members or their relatives
- *acquiring assets from members or their relatives (as mentioned below)
- in-house assets (for example, a loan from the fund to a related company or trust)
- arm's-length transactions (for example, a fair market value must be paid if the fund acquires listed shares from a member or relative)
- borrowing by the fund
- member reporting obligations (including annual statements)
- contribution acceptance standards
- benefit payment standards.

A superannuation fund may only purchase certain types of investments (at market value) from you or an associate, such as a relative. These include shares listed in Australia or on an approved overseas stock exchange, units in retail unit trusts and business real property used wholly for

any commercial business. The transfer of virtually all other assets that a member already owns into the fund may incur fines or criminal prosecution.

The SMSF Investment Strategy

As per relevant legislation under Section 52(2) (f) of the SIS Act, an investment strategy should be formulated by the trustees. This is the fund's plan to make, hold and realise fund assets. This strategy should be consistent with your investment objectives specific to the fund. The investment strategy should take into account certain elements as set down by the aforementioned legislation:

- diversification
- risk and return (refer to risk profile section)
- liquidity and cashflow
- Expression of investment strategy – strategy must be clear and unambiguous.
- Trustee Minutes – minutes must be taken to demonstrate that relevant issues relating to statutory and non statutory matters have been considered.
- Giving Effect to Strategy – implementing the investment strategy.
- Fund Reserves – Reserving policy which reduces volatility of returns and provides investment performance smoothing for the fund. In good performance years the reserves are increased and in underperforming years funds are taken from the reserve to prop up lacklustre performance in the fund.
- Segregation of Fund Assets – Assets of an SMSF can be maintained at fund level or allocated to individual members. Returns are also allocated in this instance.

In addition to diversification across asset classes, in order to manage risk, the fund will seek to diversify the portfolio across individual assets, sectors within asset classes, and investment managers.
The fund's investments may include:

- direct equities, stocks and derivatives and include the participation in dividend reinvestment programs, rights issues and the like
- property trusts and associated investments, direct residential, industrial or commercial property investment
- managed investments and associated products
- bank and other financial institution securities including term deposits and debentures
- secured and unsecured notes and bonds
- any other investment which would not prejudice Government Approval of the Fund.

The liquidity and cashflow of the fund and its investments will be managed to ensure that the fund is able to pay all expenses, tax and member benefits as and when they are likely to become due.

Example SMSF Investment Strategy

Investment objectives

Long term (5 – 7 years)

- To enhance the value of the members savings, and
- To achieve a long-term return of at least inflation (as measured by CPI) plus 3.5% per annum over rolling 5 year periods, which historically equates to the real rate of return which may be expected from a balanced portfolio.

Short term (2 years or less)

- To ensure the fund provides positive returns in most financial years, and
- To ensure sufficient liquidity to meet operating expenses and taxation liabilities as they fall due.

Investment strategy

The investment strategy is the method to be implemented in order for the trustees to achieve the investment objective. The investment strategy of the trustee is to invest the fund's assets in the following portfolios:

Portfolio	Range	Benchmark Growth
Australian shares	40% - 45%	43%
International shares	22% – 28%	25%
Property	15% - 20%	17%
Fixed interest	10% - 15%	13%
Cash	0% - 5%	2%

These ranges are purely indicative and the trustee may vary the allocations at any time if satisfied that conditions warrant such a change. In arriving at the investment strategy, the trustees considered the following:

Diversification of investment strategy

You should consider the diversification of the fund's investments and be of the opinion that the strategy is appropriate given the size of the fund in terms of both investments and the number of members.

Liquidity of the investment strategy

You must be of the opinion that the investment strategy is structured in such a manner so that the fund is sufficiently liquid to discharge its current and future liabilities.

Short-term liabilities include lump sum payments, tax liabilities, annual return fees, accounting fees and audit fees.

Borrowing to invest in Property in a SMSF

Background

From 24 September 2007 the general prohibition on superannuation funds borrowing was relaxed to allow super funds, including SMSFs, to borrow, to purchase any asset they would otherwise be permitted to acquire.

How do these rules work?

These rules allow a super fund trustee to borrow money or to maintain a borrowing of money, under an arrangement where:

- the borrowing is applied for the acquisition of an asset other than one the super fund trustee would be prohibited from acquiring
- the asset is held on trust for the super fund so that the trustee acquires the beneficial interest in the asset (ie a trust is established over the asset)
- the super fund trustee has the right to acquire legal ownership of the asset after making one or more payments, and
- the rights of the lender against the super fund trustee in relation to the borrowing (and any related charges) are limited to the rights relating to the asset

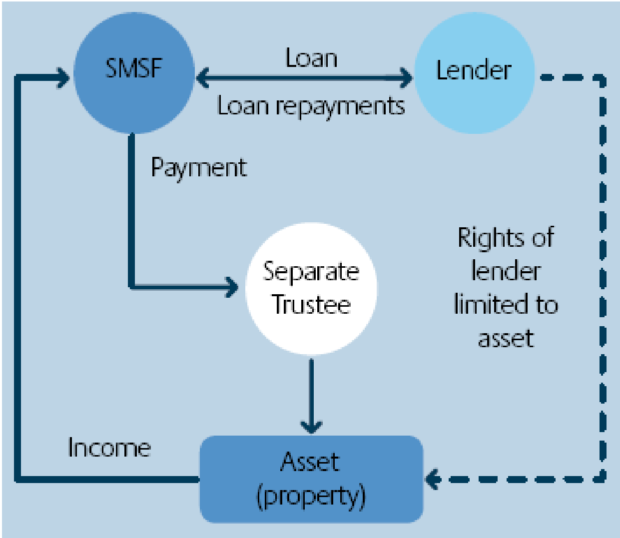
Who can make a loan to a Fund; can it be a member or a bank?

There are no restrictions on who can make a loan to a Fund. Therefore, a member, a bank or any other entity could make a loan to a Fund provided the loan complies with the Superannuation Industry Supervision Act (SISA) borrowing Requirements.

Trust arrangements

A requirement of the borrowing exemption is that the asset must be held on trust for the SMSF so that the SMSF acquires the beneficial interest in the asset. That is, the SMSF will not be permitted to directly hold the legal ownership of the asset until it has paid off the loan.

A trust relationship must be established to satisfy the borrowing rules. This could be achieved by the SMSF entering into a trust relationship with another entity, such as a member of the fund, to separate the legal and beneficial ownership of an asset. In this case, the entity holding the legal ownership of the asset would be the trustee, while the SMSF would be the beneficiary and hold the beneficial ownership of the asset. As the beneficial owner of the asset, the SMSF would be entitled to all the income from the asset and is able to instruct the separate trustee to transfer the ownership of the asset to the SMSF on repayment of the loan.



Loan requirements and practical issues

In order for the borrowing to be allowable the loan must be on a limited recourse basis only. That is, the rights of the lender against the SMSF trustee for any default on the borrowing (and any additional charges) must be limited to the rights relating to the asset that was purchased with the borrowing. These rights may include taking possession and disposing of the asset. For example, if a SMSF borrowed money to purchase an asset, such as a commercial property, the rights of the lender against the SMSF must be limited to the rights relating to that particular asset (or any replacement asset). If the SMSF then defaulted, the lender's recourse would only be against that asset. If there was any shortfall on the sale of the property that loss would be borne by the lender.

From a practical perspective the requirement for a limited recourse loan will effectively limit the amount a SMSF trustee can borrow. That is, some lenders may only be willing to lend up to a certain Loan to Value Ratio (LVR) on certain asset classes, such as property. For example, a bank lender may only be willing to lend on direct property and only up to a maximum 70% LVR.

The interest rate for a limited recourse loan may also be higher to reflect the higher risk to the lender. This may also limit a SMSF's ability to borrow in many circumstances. For example, a lender may be willing to go up to an 80% LVR on an asset but the interest rate may be so high as to make the loan so expensive, which results in losses to the SMSF.

Limited Recourse Borrowing Arrangements (LRBAs)

In April 2016, the Australian Tax Office issued guidelines (Practical Compliance Guidelines PCG 2016/5) flagging that a limited recourse borrowing arrangement may have income derived from that arrangement, treated as non-arm's length income (NALI), and hence taxed at 47%, if that limited recourse borrowing arrangement has been established or maintained on terms that are not consistent with an arm's length dealing.

For the 2018/2019 year, the interest rate for real property LRBAs is 5.80%, and for LRBAs covering listed shares and units, the interest rate is 7.80%.

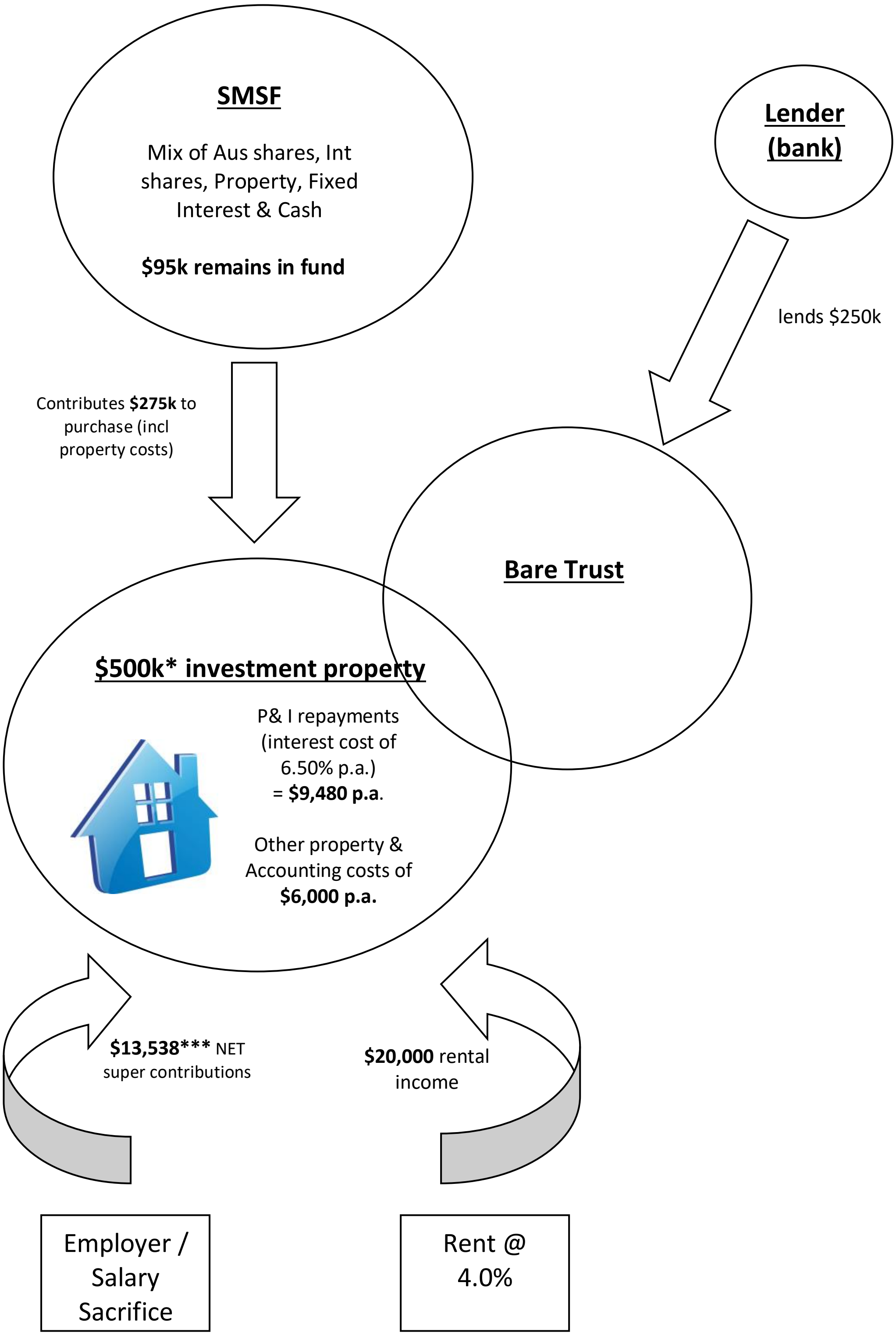
The ATO sets out specific requirements for an LRBA financed (or refinanced) by a related party, and used to purchase real property (see also Table 1 below). The requirements cover the following:

- **Interest rate:** 5.80% for 2018/2019 year. Annual rate to be published each May.
- Whether it is a fixed or variable loan, and if fixed, for a maximum of 5 years.
- **Term of loan:** up to 15 years
- **Loan to Market Value ratio (LVR):** Maximum 70% LVR.
- **Security:** a registered mortgage is required. Note that a personal guarantee is not required.
- **Nature and frequency of payments:** Each payment must include both principal and interest and must be made monthly.
- **Loan agreement:** Must be in writing and be executed.

Therefore, any future consideration to borrowing against an existing residential property and entering into a related party loan agreement is not deemed appropriate in light of the above restrictions.

How borrowing may work in your SMSF – Potential Strategy

We have assumed a purchase price of $500,000 + stamp duty and other costs which equates to a total outlay of $525,000.



*** A purchase of $500k has been used purely for <u>illustrative purposes</u>. This has been documented as a potential strategy as you have stated that you would like to explore property as an asset class and learn more about the tax effective ownership structures.**

***** Current employer contributions (net of 15% contributions tax).**

Superannuation Funds

Greg, you currently have the following superannuation fund:

Russell Super – Account Number 70040636

- The fund currently has a balance of approximately 370,000

Recommendation:

- Roll the Russell Super fund into the SMSF.
- All future contributions should be made to the SMSF.

Note: Your Russell Super Fund should not be rolled over until appropriate replacement insurances are put in place. Alternatively, the Russell Super Fund should be left open in order to maintain the insurances currently contained within the fund.

Basis for the recommendation:

- Establishing your own SMSF suits your needs and objectives, providing you with an appropriate alternative to your existing funds.
- Once the funds are in your SMSF, as the trustee of the fund you are responsible for your own investment strategy which includes asset allocation. Accordingly, you will be able to ensure that the fund's assets are invested in accordance with your risk profile.

Superannuation Structures & Associated Retirement Projections

This section of your Statement of Advice outlines the various ways your superannuation may be structured, and projects the balance of your retirement capital using the following assumptions:

- Principal & interest repayments on any superannuation loan are $9,480 p.a.
- Repayments on any non-superannuation loan are interest only at rate of 5% p.a.
- Capital value of managed funds increases by 7% p.a.
- Capital value of properties increases by 6.0% p.a.
- SMSF Investment property is sold and loan repaid after 10 years using SMSF funds
- Any surplus funds are added to and invested within a managed fund each year
- Properties are sold and loans repaid after 10 years

Current Position

- Retain existing superannuation structure.

Scenario 1

- Commence a Self-Managed Super Fund (SMSF).
- SG contributions continue as is.
- Borrow $250,000 to assist with the purchase of an investment property of $500,000 **inside the SMSF.**
- Invest remaining funds in “Growth” style portfolio.
- Use the proceeds of the sale of the property to extinguish the SMSF property debt.

Scenario 2

- Commence a Self-Managed Super Fund (SMSF).
- SG contributions continue as is.
- Borrow $250,000 to assist with the purchase of an investment property of $500,000 **inside the SMSF.**
- Invest remaining funds in “Growth” style portfolio.
- Use the proceeds of the sale of the property to extinguish the SMSF property debt.
- Use a loan facility of $100,000 to invest in a portfolio of managed funds in your personal name (outside of superannuation).
- Use the proceeds of the managed fund portfolio to extinguish the $100,000 debt after 10 years.

Scenario 3

- Commence a Self-Managed Super Fund (SMSF).
- Increase salary contributions to the maximum limit of $25k p.a. (gross).
- Borrow $250,000 to assist with the purchase of an investment property of $500,000 **inside the SMSF.**
- Invest remaining funds in "Growth" style portfolio.
- Use the proceeds of the sale of the property to extinguish the SMSF property debt.

Retirement Projections

Under each of these scenarios we have calculated your projected capital position after 10 years, taking into consideration the assumptions previously outlined.

A summary of these projections is detailed in the following table:

Scenario	Superannuation Capital	Non-Superannuation Capital	Total Capital
Current	$914,893	$0	$914,893
1	$1,119,862	$0	$1,119,862
2	$1,119,862	$54,575	$1,174,437
3	**$1,226,414**	$0	**$1,226,414**

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Based on a retirement age of 65, the following returns would need to be achieved in order for you to satisfy specific annual retirement incomes without eroding any capital:

Scenario	Retirement Age	Projected Retirement Capital	Retirement Income Required	Required Annual Return on Capital
Current	65	$914,893	$60,000	6.56%
			$80,000	8.74%
			$100,000	10.93%
1	65	$1,119,862	$60,000	5.35%
			$80,000	7.14%
			$100,000	8.93%
2	65	$1,174,437	$60,000	5.11%
			$80,000	6.82%
			$100,000	8.51%
3	**65**	**$1,226,414**	**$60,000**	**4.89%**
			$80,000	**6.52%**
			$100,000	**8.15%**

Investments Outside of Superannuation (Scenario 2)

- Greg, you have the ability to borrow to invest outside superannuation utilising the equity in your residential property.

- Scenario 2 includes an investment of $100,000 in a portfolio of managed fund in your personal name.

Recommendation:

- The specific portfolio of managed funds will be detailed within a separate Record of Advice (RoA) at the appropriate time.

Salary Sacrifice to Superannuation (Scenario 3)

Greg, you are currently receiving Superannuation Guarantee (SG) contributions of approximately $15,927 p.a. (gross). The concessional superannuation contribution cap is $25,000 per annum.

Recommendation:

- Greg, consider making salary sacrifice contributions to superannuation up to the maximum limit.

Benefits:

- Salary sacrifice contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Greg, your salary sacrifice contributions will be taxed at a maximum of 15% compared to the 39% if taken as income.
- **The total tax saving for a full financial year is $2,177.**
- **You have increased your combined NET superannuation contributions by $7,712 p.a. to build a capital base to meet your retirement income goals.**

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

IMPORTANT:
It is important that any salary sacrifice arrangement is clearly documented in writing. You should also confirm with your employer that they are going to continue to pay Superannuation Guarantee Contributions (SGC) on the grossed-up amount of your package, i.e. that the SGC will continue to be calculated on the total of your salary + salary sacrificed amount.

Tax Liability and Cash Flow Position

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Salary	$167,652			
Deductions				
Current Salary Sacrifice		$0		
TAXABLE INCOME			**$167,652**	
TAX PAYABLE				**$49,528**
Medicare Levy				$3,353
NET TAX				**$52,881**

Current Estimated Cash Flow

Based on your stated income, expenses and current tax position we estimate your cash flow over one whole financial year to be as follows.

	Total
Income	
Salary	$167,652
Sub Total	**$167,652**
Less Income Tax	$52,881
Net Income	**$114,771**

Proposed Estimated Tax Liability ($9,073 salary sacrifice contributions)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Salary	$167,652			
Deductions				
Proposed Salary Sacrifice		$9,073		
TAXABLE INCOME			**$158,579**	
TAX PAYABLE				**$46,171**
Medicare Levy				$3,172
NET TAX				**$49,343***

* Note: the $9,073 superannuation contribution will be subject to contributions tax of 15% ($1,361). Therefore, total tax incurred will be $50,704.

Therefore, the overall tax benefit is anticipated to be $2,177 per annum (i.e. $52,881 - $50,704)

Proposed Estimated Cash Flow ($9,073 salary sacrifice contributions)

Based on your stated income, expenses and current tax position we estimate your cash flow over one whole financial year to be as follows.

	Total
Income	
Salary	$167,652
Sub Total	**$167,652**
Less Income Tax	$49,343
Less Salary Sacrifice	$9,073
Net Income	**$109,236**

Capital Gains and Ownership Structures

The following table demonstrates the Capital Gains Tax payable under different ownership structures, using the purchase of a $400,000 investment property as an example (i.e. the investment property is sold at the end of the period and any capital gain is realised):

Ownership	Purchase Price	Sale Price	Gain	Calculation of Assessable Gain	Assessable Gain	Tax Paid
Pty Ltd Company	$500,000	$1,000,000	$500,000	100%	$500,000	**$150,000**
Own Name	$500,000	$1,000,000	$500,000	50%	$250,000	**$90,597***
Trust	$500,000	$1,000,000	$500,000	50%	$250,000	**$90,597***
SMSF – Accumulation Phase	$500,000	$1,000,000	$500,000	2/3rds of 15%	$50,000	**$50,000**
SMSF – Pension Phase	$500,000	$1,000,000	$500,000	0%	$0	**$0**

* Assumes no other taxable income in the financial year that the property is sold.

Investments within SMSF

Under the potential strategy, your SMSF may have an approximate cash balance of $95,000. We have provided some suggestions below in terms of how the monies may be invested in a portfolio that is in line with your **Growth** Risk Profile. In light of the possibility of purchasing direct property within your SMSF, we have excluded this asset class from the recommended portfolio:

Growth:

Asset Class	% of Portfolio	Value
Australian Shares	47%	$44,650
International Shares	32%	$30,400
Fixed Interest	15%	$14,250
Property	0%	$ 0
Cash	6%	$5,700
	100%	**$95,000**

Recommendations:

International Shares

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
Pendal Wholesale Global Share Fund	*$12,160*	*1.02%*
Platinum Wholesale International	*$9,120*	*1.73%*
MFS Wholesale Global Equity	*$9,120*	*1.22%*
Total Investment	**$30,400**	

Fixed Interest – Option 1

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
*FirstChoice Wholesale Fixed Interest^*	*$14,250*	*0.77%*
Total Investment	**$14,250**	

Fixed Interest – Option 2

Investment Name	Investment Value	Management Expense Ratio (MER)
Term Deposit°	*$14,250*	*0%*
Total Investment	**$14,250**	

^ Performance figures (net of MER) for the FirstChoice Wholesale Fixed Interest Fund as at 31/10/2018 are as follows:

1 year	2 years	3 years	5 years	7 years	Since inception	Inception date
1.19%	1.62%	2.67%	4.07%	4.725%	5.72%	17/04/02

° The highest rates currently available for term deposits of $14,250 for a term of 12 months are:

- ING - 2.85%
- Macquarie - 2.80%
- ME - 2.80%

Australian Shares – Option 1

Investment Name	**Investment Value**	**Management Expense Ratio (MER)**
Colonial FirstChoice Wholesale Platform*		
Pendal Wholesale Australian Share	*$11,600*	*1.02%*
Fidelity Wholesale Australian Equities	*$11,600*	*1.06%*
Perennial Wholesale Value Australian Share	*$11,600*	*1.01%*
CFS Small Companies	*$9,850*	*1.12%*
Total Investment	**$44,650**	

Australian Shares – Option 2

Investment Name	**Investment Value**	**Indicative Management Cost**
Direct Shares[1]	*$44,650*	*Cost of brokerage* ***(typically 1%)***
Total Investment	**$44,650**	

[1] Specific shares to be recommended by an authorised stock broker should you wish to proceed with this option.

Cash – account to be set up

Investment Name	**Investment Value**
Macquarie Cash Management Account	*$5,700*
Total Investment	**$5,700**

^ Performance figures (net of MER) for the managed fund options as at 31/10/2018 are as follows:

Fund	1 year	3 years	5 years	Since inception	Inception date
Pendal Wholesale Global Share Fund	4.81%	5.97%	12.03%	3.94%	23/04/2002
Platinum Wholesale International	20.26%	9.69%	15.90%	10.06%	17/02/2003
MFS Wholesale Global Equity	9.07%	8.56%	15.88%	12.85%	31/05/2009
BT Wholesale Core Australian Share	10.34%	6.89%	9.26%	8.31%	23/04/2002
Fidelity Wholesale Australian Equities	4.52%	5.41%	7.86%	9.55%	31/07/2009
Perennial Wholesale Value Australian Share	2.80%	2.99%	6.54%	7.90%	25/04/2004
CFS Small Companies	18.38%	12.26%	14.16%	11.00%	31/12/1993

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of $5,000 ($1,500 for super) is required to establish an account in FirstChoice Investments. A $1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is $100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

<u>Sector Specific Diversification</u>

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

<u>Simplicity</u>

Consolidated reporting from Colonial First State.

<u>Ease of Management</u>

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

<u>Highly competitive and simple to understand fee structure</u>

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one-off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
    - **Our normal 0.60% p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Superannuation Fund Costs

The fee structure under your current superannuation funds is as follows:

Type of Fee or Cost	Russell Super
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	$82.35 per exit
Switching Fee – fee charged for switching between investment options in the super fund.	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	0.49% p.a. + $66.30 p.a.
Adviser Service Fee – additional fee paid to financial adviser	Nil
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.67% p.a.
Asset Allocation	Balanced
Annual average cost on Total $370,000 investment	$4,358.30

A guide to the fee structure under a SMSF is as follows:

Type of Fee or Cost	SMSF (Self-Managed Super Fund) p.a.
Adviser Service Fee – additional fee paid to financial adviser	0.60%^
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0% to 1.73%
Set up cost of SMSF	$3,000+GST
Annual Accounting Fees and Audit (estimated)	$2,500+GST

Notes:

^An adviser service fee will be paid from the Colonial First State investments only if these are included as part of the SMSF investment strategy.

Whilst an SMSF may prove costly to set up, additional benefits may be obtained such as tax minimisation and the ability to borrow to invest within the superannuation environment.

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Existing Cover Amounts

You currently have the following cover in place within your Russell Super fund:

Life Insurance:	$176,000
TPD:	$176,000

It must be brought to your attention that your insurance cover will cease should you close your existing superannuation fund and roll your superannuation monies across to a newly formed SMSF. A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken. Lakeside's Tristan Strange will assist you with this analysis and we will subsequently provide recommendations accordingly.

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression "Estate planning" represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However, we outline below some of the issues you should consider in designing your estate plan.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

You currently have a basic Will that was put in place in August 2018.

Recommendation:

- **We have an arrangement with Lakeside Lawyers Pty Ltd who can assist with the implementation of an appropriate Will as soon as possible.**

It is important to ensure your Will:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Will incorporates a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non-Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which
- case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

Powers of Attorney

This element of your estate plan is designed to be implemented prior to your death so that your affairs can be conducted appropriately.

You currently do not have Powers of Attorney in place.

Recommendation:

- **We recommend you consult an approved legal practitioner to ensure they are prepared as soon as possible.**
- **We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**
- **We recommend you consult Lakeside Lawyers Pty Ltd for a review every three years.**

There are three 'standard' types of Power of Attorney:

- A general Power of Attorney which can provide the donee with restricted or unrestricted authority over the donor's financial affairs (but not their health care). Such a policy lapses if the donor loses mental capacity.
- An enduring Power of Attorney which provides the donee with authority over the donor's financial affairs (but not their health care) until they die (i.e. it extends beyond any loss of mental capacity).
- An enduring medical Power of Attorney which provides the donee with authority over the medical needs of the donor if the donor himself is unable to make such decisions (whether temporarily or permanently).

Note 1 - A Power of Attorney may only be granted by someone who is over the age of 18 and who is of sound mind at the time of the grant and capable of fully understanding the nature and purpose of the document they are signing.

Note 2 **- The attorney is not able to do anything illegal while operating under a Power of Attorney, nor is he/she able to sign a Will on behalf of the donor, or to transfer the Power of Attorney to someone else unless authorised to do so.**

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $3,300 (Including GST), which can be paid from superannuation monies, or invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of 0.60% will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- There is no tax on the earnings within pension products.
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

Appendix B – Retirement Capital Projections

Appendix C – Self Managed Super Funds – Role & Responsibilities of Trustees

Refer to the attached guide – 'Running a self-managed super fund - Your role and responsibilities as a trustee'.